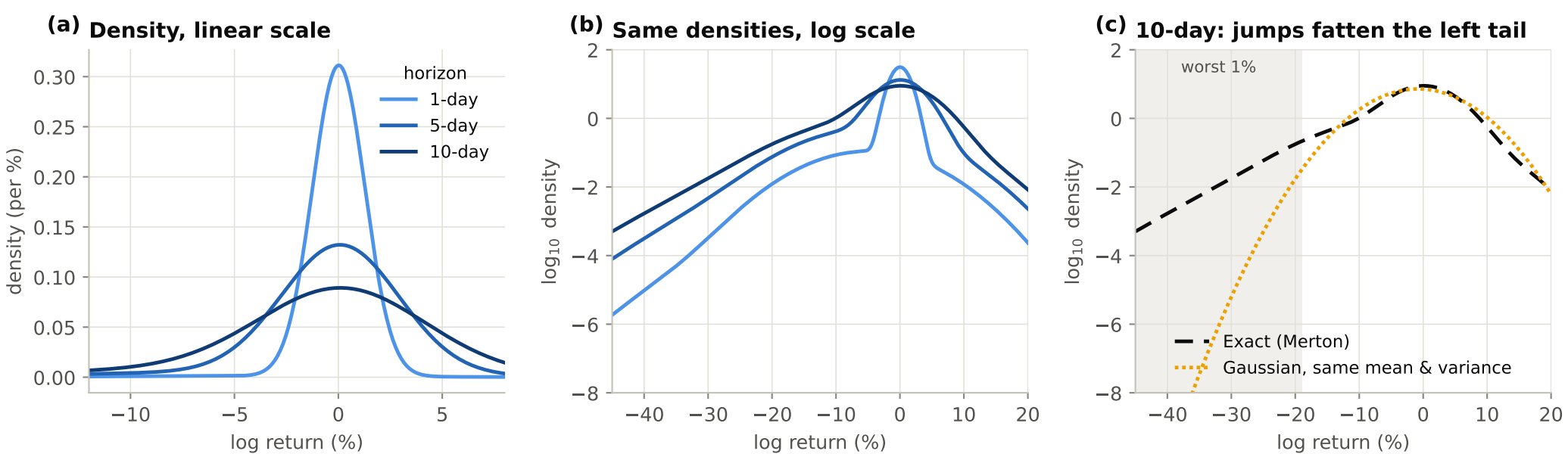
(a) Density, linear scale
horizon
1-day
5-day
10-day
density (per %)
0.30
0.25
0.20
0.15
0.10
0.05
0.00
−10
−5
0
5
log return (%)
(b) Same densities, log scale
log10 density
2
0
−2
−4
−6
−8
−40
−30
−20
−10
0
10
20
log return (%)
(c) 10-day: jumps fatten the left tail
worst 1%
log10 density
2
0
−2
−4
−6
−8
Exact (Merton)
Gaussian, same mean & variance
−40
−30
−20
−10
0
10
20
log return (%)